

Hindustan Unilever Ltd

HINDUNILVR · Consumer Staples

ROE

20.1%

ROCE

87.3%

Net Profit Margin

16.6%

Debt-to-Equity

0.03

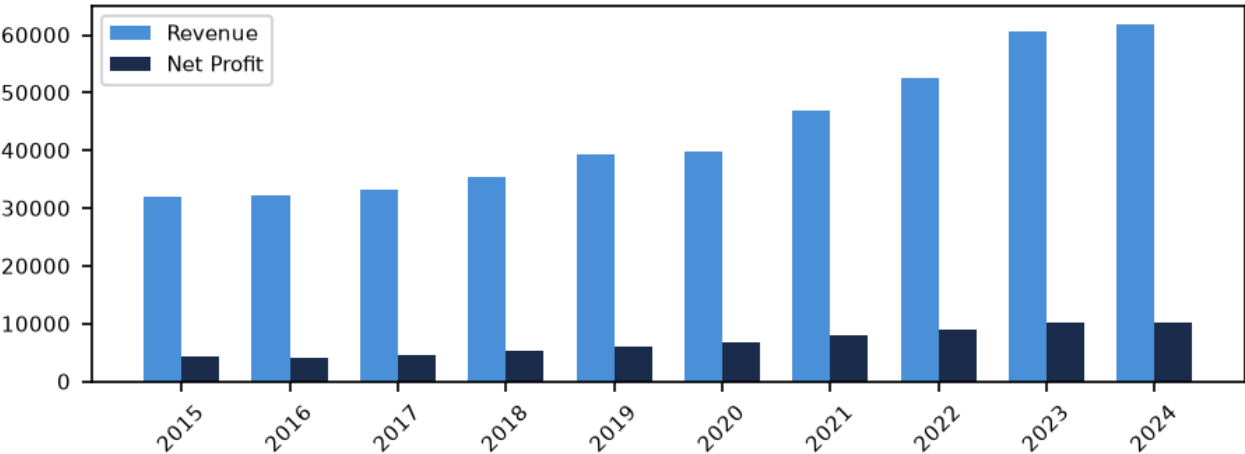
Revenue CAGR (5yr)

9.5%

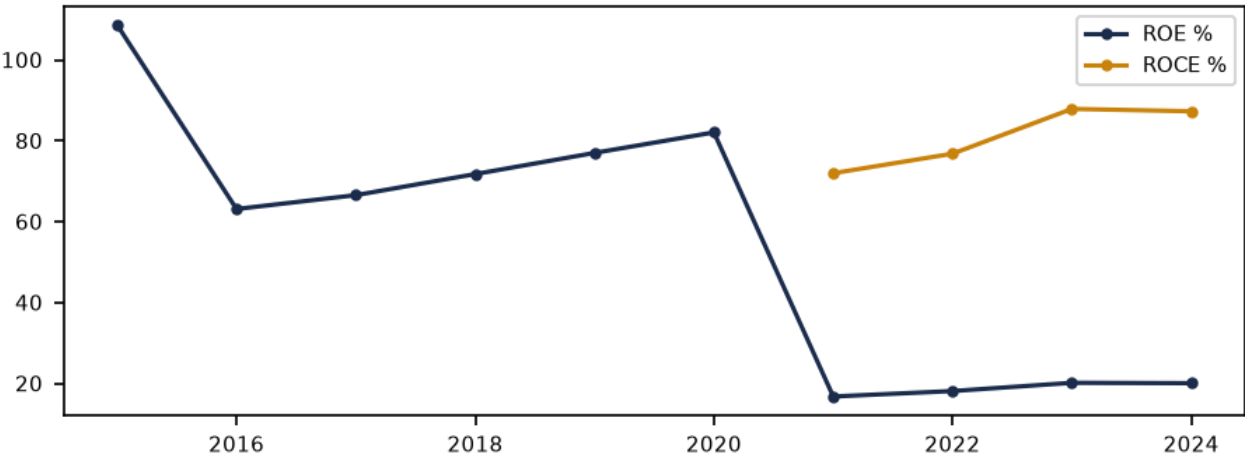
Free Cash Flow

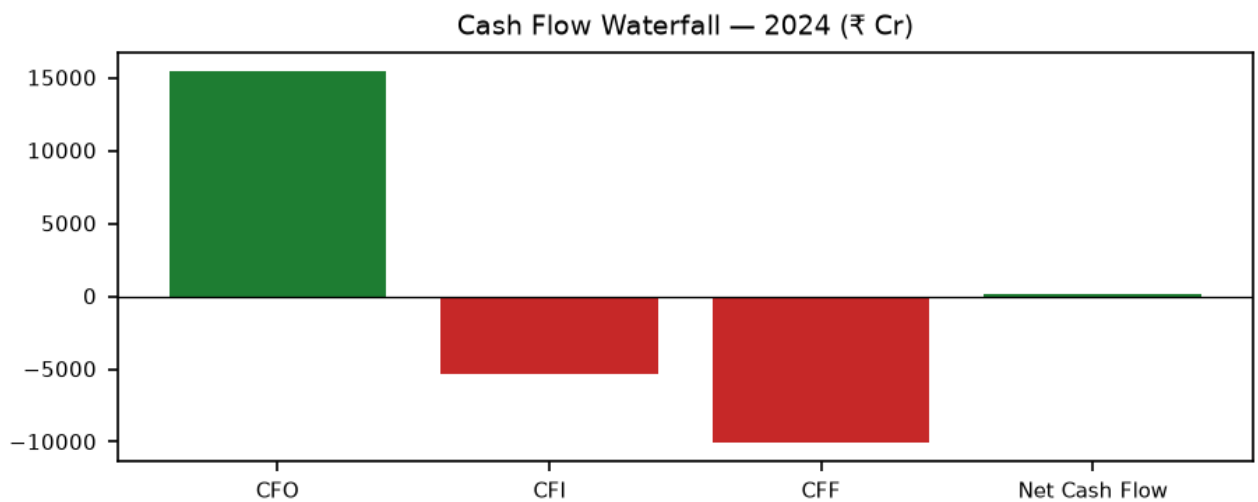
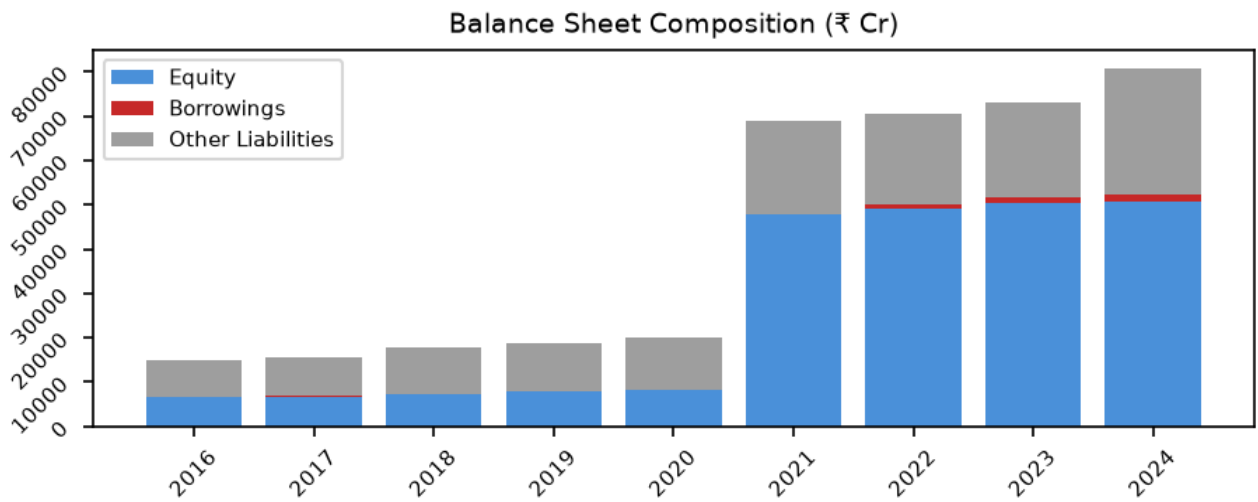
■ 10,145 Cr

Revenue vs Net Profit (₹ Cr)



ROE vs ROCE Trend (%)





Pros

- ✓ Strong free cash flow generation over 5 years signals healthy business fundamentals
- ✓ Operating profit margin above 25% indicates strong pricing power and cost discipline
- ✓ Very high interest coverage ratio reflects negligible financial stress from debt servicing
- ✓ Consistent dividend yield above 2% backed by positive free cash flow
- ✓ Revenue growing slower than profits shows improving operating leverage and scale benefits

Cons

- ✗ Rising debt-to-equity ratio over 3 years suggests increasing financial leverage risk

Capital Allocation: Reinvestor